ECONOMIC DEVELOPMENT IN PRE AND POST-INDEPENDENCE ODISHA : A COMPARATIVE ANALYSIS

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ABSTRACT

Globalization is a process which involves economic integration, transfer of policies across borders which transmits knowledge; stabilize culture and establishment of a global market free from socio-political control. Globalisation is defined as free movements of goods, services, capital (FDI), people and information technology across national boundaries. It is a process of transformation of regional or local phenomena into global ones. Globalization is multi-dimensional and it directly or indirectly makes considerable impact on human life. Globalisation can be referred as homogenisation or integration of people, countries, their economies and cultures. It has led to the end of geography and also death of distance. Geography and national border have become obsolete concepts. So fast is the information flow, so advanced is science and communication technology and so interconnected is the global market that, not only we get information from farthest comers of the world in fractions of seconds, not only we reach at remotest points of the globe in fastest pace and shortest time ever, but also the easy availability of goods and services from around the world in local market places makes their origin point irrelevant. Globalization has many meanings depending on the context and on the person who is talking about. The term globalization refers to the integration of economies of the world through uninhibited trade and financial flows, as also through mutual exchange of technology and knowledge. Ideally, it also contains free inter-country movement of labour. In the context of Odisha in particular as well as India in general, this implies opening up the economy to foreign direct investment by providing facilities to foreign companies to invest in different fields of economic activity in India, removing constraints and obstacles to the entry of MNCs in India, allowing Indian companies to enter in to foreign collaborations and also encouraging them to set up joint ventures abroad; carrying out massive import liberalization programs by switching over from quantitative restrictions to tariffs and import duties, therefore globalization has been identified with the policy reforms of 1991 in India.

Key words-

GDDP,GDP ,GER,GGY ,GKS , GOALS, GSDP,GSVA ,GVA , IAP -Integrated Action Plan, ICDS, OSDC, PGR, SONTR,SOR, SOTR, SECC,SDGs,TFG,

Introduction-

The term "Globalization" has been propounded by Adam Smith in his book "Wealth of Nations" in 1776. In general sense "Globalization" means closer contact between different parts of the world, with increasing possibilities of personal exchange, mutual understanding and friendship between "World Citizens" and creation of global civilization. The forces of globalization affect virtually every country in the world.

In the pre-Plan era, the economy of Bihar and Odisha Province was in a dismal state. Owing to the failure of harnessing its resources, the scale of public expenditure in these

provinces was the lowest in the country. On account of its abject poverty, the province was exempted from contributing to the central revenue under the Meston Settlement. In Bihar and Odisha province, the Odisha portion was relatively poor and less developed.Later, when Odisha was separated from Bihar in 1936, it was obvious that there would be an initial deficit for Odisha which could not have been financed by increasing the burden of taxation on the people of Odisha. There was unanimity that a corresponding subvention from the central treasury was indispensable. In this background, the financial position of Odisha subsequent to its formation is traced.

The deficit in the financial position of the newly formed Odisha province was distressing. The Government of India decided to grant Rs. 40.5 lakh to the new province for balancing its budget. In addition, a non-recurring grant of Rs. 9.5 lakh was assigned to the province for certain specific purposes. The principles of financial settlement between the Provinces and the Centre were recommended by Sir Otto Niemeyer, after the Government of India Act, 1935 came into force. Sir Otto Niemeyer observed, Some increase in expenditure is inevitable; it is impossible to ignore the fact that the existing standard of expenditure in Odisha is extremely low and scope for expansion of the provinces own resources in the early future is usually limited. The financial accounts of the province during the period prior to the war (i.e., from 1936-37 to 1938-39) reveal its ceaseless struggle to make both ends meet. The inelasticity of the main sources of revenue, such as land revenue, excise, forests and stamps, made it impossible for the province to augment the income from those sources. Hence, inadequate revenue generation weighed heavily on the province

Methodology-

The study attempted to analyse the **socio-economic development in Odisha in the pre and post-globalisation period** by following historical and analytical methods. The study shall use inductive and deductive method wherever applicable. The study based on the primary sources materials like various government documents, historical documents, archival materials, gazettes and documents released by different government bodies. It also focuses on various other secondary sources material such as books, monographs, articles published in various news magazines, journals and newspaper besides using web materials. In addition, inputs by many scholars and experts who have experience on this research work have been inserted into this work.

The main thrust of the study revolve round two main arguments: a) Poor socio-economic situation of Odisha in pre-globalisation period paved the way for the forces of market economy to eye on resource rich Odisha; and b) The adverse effect of globalisation on tribal culture of Odisha has prompted the local people to resort to resistance movements against the state's reform agenda.

Economic Development Of Odisha During 1939-40 To 1945-46 -

During the War Period 1939-40 to 1945-46 there was a little change in the pattern of revenue and expenditure of Odisha province. Odisha revenue increased from Rs.1.8 crs in 1938-39 to Rs.3.6 crs in 1945-46.However,the surplus did not solve the provincial finance. This is due

to the adoption of anti-inflationary policies of mopping up as much purchasing power as possible and putting off some expenditure to future years. During this period the province received some temporary subsidies from the central Government on agency subjects like press censorship, agency police, National War Front and on certain other functions like publicity, civil defence etc.

There was however, considerable increase in revenue expenditure under all heads, particularly in the departments dealing with the security services and the war effort. The budgetary position during the war period showed some improvement owing partly to the implementation of the recommendations of the Retrenchment Committee in 1937-38, and partly due to the increase in receipts under income tax, provincial excise, forests, etc.

Economic Development Of Odisha During 1946-47 To 1948-49-

During the Post-War Period that is before integration (from the end of the war until 1949) when the princely states were integrated with the Province, its budgetary position underwent some marked changes in the pattern of revenue and expenditure. Many new taxes were imposed and the rates of the existing taxes were increased. Expenditure on developmental activities showed some increase on account of implementation of the Post-War Development Plan from 1945-46, which was estimated at a total cost of Rs. 37.89 crore.

Various grants and subsidies received from the Centre during the war period were either stopped or incorporated in the Post-War Development Grants. The revenue account of Odisha, which showed a nominal surplus till then, revealed a huge deficit of Rs. 111.18 lakh in 1948-49 for the first time since its formation in 1936. The deficit was primarily due to the first phase of merger on 1st January 1948.The merger resulted in a setback to the financial position of the province. The revenue receipts could not keep pace with the rising expenditure on the revenue account in spite of the economy drive.

Economic Development Of Odisha During 1949-50 To 1950-51 -

This period begins from the time of the merger of princely states with Odisha in 1949 and ends with the commencement of the first Five Year Plan in the year 1951.Two important events of the time, which had profound influence on the finances of the State, were the Federal Financial Integration, which came into force on 1st August 1949 and the Deshmukh Award that was necessitated by the adoption of the new Constitution on 26th January 1950.Despite all efforts to improve the State's revenue receipts position, its per capita income remained the lowest among the Part-A States. Under the Deshmukh Award, Odisha's share of income tax increased from two to three per cent. This was only an adjustment of the lapsed percentages consequent upon the partition of India and no new principle was involved in this redistribution. This no doubt improved Odisha's share, but the improvement was insignificant against the aggregate financial needs.

At the time of integration, the expectations of the State Government were latched on to the recommendations of the Indian States Finances Enquiry Committee. The State Government had anticipated that the Net Revenue Gap, caused by federal financial integration of the merged areas would be reimbursed. Additionally, a substantial financial relief from the Centre was also hoped for. The integration entailed an average annual revenue loss for Odisha of about Rs. 21 lakh, while the expenditure on the departments and services taken over by the central

Government amounted to about Rs. 2 lakh. The State had to put up with a net loss of revenue to the tune of Rs. 19 lakh. The State had hoped to get the difference of these two amounts, but the Government of India held the view that the `Net Revenue Gap' would mean not the net amount that the State had lost but the amount that the Centre had gained as a result of the integration.' After the federal financial integration, all the expanding sources of revenue of the merged areas such as income tax, central excise, revenue from post and telegraphs were passed on to the hands of the centre.

Economic And Financial Position Of Odisha In Pre And Post-Independence Era-

Total Expenditure as percentage of GSDP has increased from 6.2 per cent during the 1st Plan period to a peak of around 20 per cent during the 12th Plan period. The trend in revenue expenditure as percentage of GSDP has exhibited similar pattern. Subsequent to a fluctuating trend, a sustained rise in the capital outlay ratio is observed since the 10th Plan period

Comparison Of Plan And Non-Plan Expenditure Of Odisha During Plan Periods-

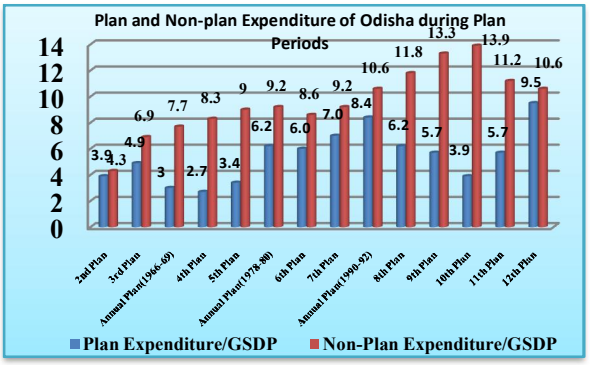
The Non-plan Expenditure as a proportion of GSDP has consistently increased till 10th plan period but it has declined thereafter. This has mainly due to compression in non-plan Expenditure items Source-such as salary, pension and interest payment.It can be shown in the following table and graph.

S.No	Plans	Plan Expenditure/GSDP	Non-Plan Expenditure/GSDP
1	2nd Plan	3.9	4.3
2	3rd Plan	4.9	6.9
3	Annual Plan(1966-69)	3	7.7
4	4th Plan	2.7	8.3
5	5th Plan	3.4	9
6	Annual Plan(1978-80)	6.2	9.2
7	6th Plan	6.0	8.6
8	7th Plan	7.0	9.2
9	Annual Plan(1990-92)	8.4	10.6
10	8th Plan	6.2	11.8
11	9th Plan	5.7	13.3
12	10th Plan	3.9	13.9
13	11th Plan	5.7	11.2
14	12th Plan	9.5	10.6

Source-Budget at a Glance-GoO {various issues}

Comparison Of Developmental And Non-Developmental Expenditure-

The quality of expenditure is the key to fiscal consolidation. It helps in reaping efficiency and welfare gains while smootheing the effects of fiscal adjustment. Empirical analysis indicates that expenditure on social and physical infrastructure can have growth augmenting effects. States need to prioritize expenditure on physical and social infrastructure and economize on non-essential heads.



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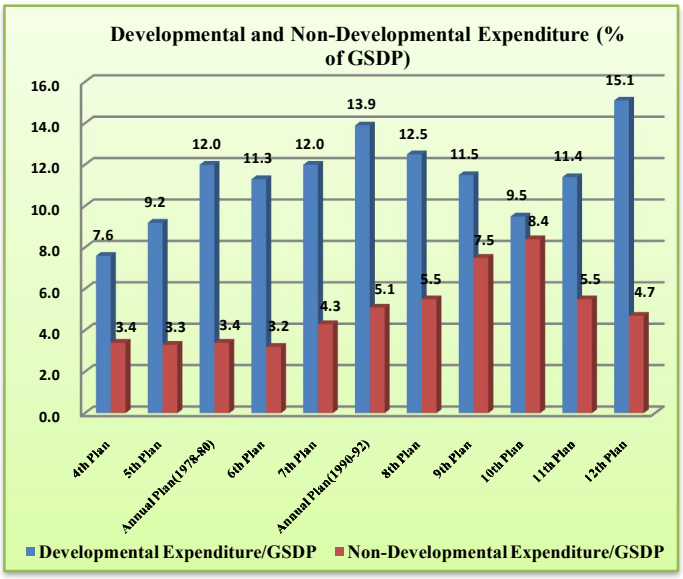
Developmental expenditure as percentage of GSDP has increased from 7.6 per cent in the 1st Plan period to 15.1 per cent in the 12th Plan period. The non-developmental expenditure has increased from the 1st Plan period to the 10th Plan period, and during 11th and 12th Plan period there is a sharp decline. A surge in Developmental expenditure is witnessed during the 11th Plan and the 12th Plan period. This reflects the State's commitment to improve the quality of expenditure. The detailed analysis is in the graph.

Sl N	Plans	Developmental Expenditure/G	Non-Developmental
1.	4th Plan	7.6	3.4
2.	5th Plan	9.2	3.3
3.	Annual Plan(1978-80)	12.0	3.4
4.	6th Plan	11.3	3.2
5.	7th Plan	12.0	4.3
6.	Annual Plan(1990-92)	13.9	5.1
7.	8th Plan	12.5	5.5
8.	9th Plan	11.5	7.5
9.	10th Plan	9.5	8.4
10.	11th Plan	11.4	5.5
11.	12th Plan	15.1	4.7



Developmental And Non-Developmental Expenditure (% Of Gsdp)-

There is a need for the creation of fiscal space for development of critical infrastructure and achievement of human development levels envisaged in the UN Millennium Development Goals. In its broadest sense, fiscal space can be defined as the availability of budgetary room that allows a Government to provide resources for desired purposes without any prejudice to the sustainability of a Government's financial position. The creation of fiscal space and the sustainability of the fiscal position of the State can be traced by analyzing the deficit indicators and debt indicators of the State Finances.

Comparative Analysis Of Economic Growth Of Odisha During Plan Periods-

The role of economic growth in income and wealth re-distribution and generating opportunities for everyone in that redistribution cannot be overstated. Swift, sustainable, and all-inclusive growth requires a robust macroeconomic foundation to usher fiscal prudence and a reliable medium term fiscal framework. To set the context for the broader thematic and policy discussion, it is imperative to analyze the economic growth. The details are given in the following table.

S.No	Plans	CAGR/ GSDP	Per capita GSDP
1	1st Plan	2.13%	0.21%
2	2nd Plan	2.54%	0.74%
3	3rd Plan	3.64%	1.22%
4	Annual Plan (1966-69)	5.36%	3.10%
5	4th Plan	2.52%	0.38%
6	5th Plan	8.03%	6.03%
7	Annual Plan(1978-80)	-12.09%	-13.50%

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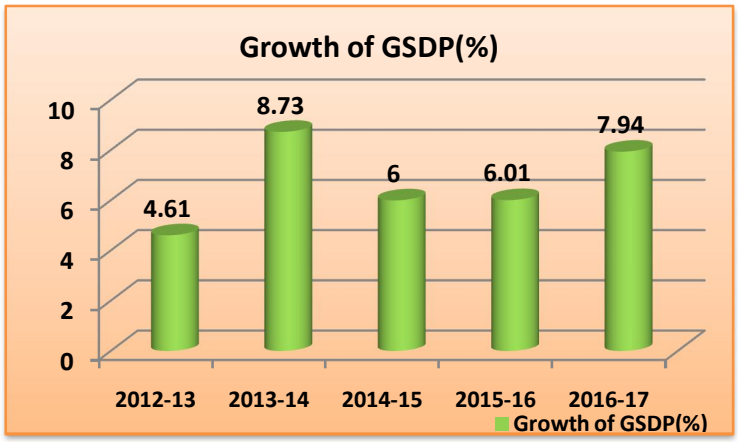
8	6th Plan	1.94%	0.17%
9	7th Plan	5.60%	3.67%
10	Annual Plan(1990-92)	9.80%	7.87%
11	8th Plan	2.84%	1.24%
12	9th Plan	3.56%	2.17%
13	10th Plan	11.00%	9.55%
14	11th Plan	6.06%	4.67%
15	12th Plan*	7.16%	6.09%

Source: Compiled from Economic Survey, Government of Odisha (various issues)

* For the 12th Plan, GSDP is taken at constant (2011-12) prices, however for the rest of the plans, it is at constant (2004-05) prices.

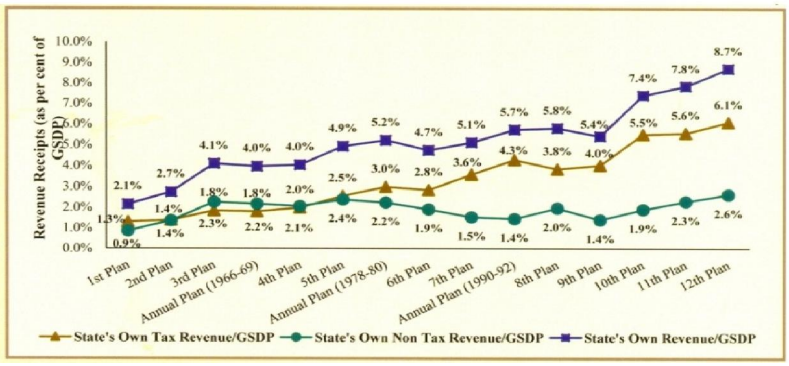
The Compound Annual Growth Rate (CAGR) of Gross State Domestic Product (GSDP) for various Plan periods is delineated in Table. During the first three Plan periods, the growth fluctuated between 2-3 per cent and further to 8.03 per cent. However, it improved to 5.36 per cent during the Annual Plan of 1966-69 and the 5th Plan Period respectively. The growth in GSDP and per capita income declined in the 4th Plan Period because of a politically unstable situation in the State. During the Annual Plan 1978-80, a negative CAGR in both GSDP and per capita GSDP was witnessed because a severe drought had impacted the production in agriculture sector. The trends in the growth of GSDP are shown in the table as well as in the graph.

Year	Growth of GSDP(%)
2012-13	4.61
2013-14	8.73
2014-15	6
2015-16	6.01
2016-17	7.94



Comparison Of Trend In States's Own Tax Revenue Receipts (% OF GSDP)-

Efficiency in Non-Tax Revenue is represented by SONTR relative to GSDP. The efficiency in the non-tax revenue has followed a cyclical pattern through different Plan periods. It showed an increasing pattern from 1st Plan period to 5th Plan period, followed by a declining trend up to the 3rd Annual Plan period (1990-92). Since the 9th Plan period it has been on the rise. This rise is attributed to buoyancy in the revenue from non-ferrous mining and metallurgical industries. The



percentage of SOR to GSDP and SOTR to GSDP has witnessed an upward trend consistently. An upward break is observed in the 9th Plan period for both SOR and SOTR ratio. In the 12th Plan period, SOR to GSDP and SOTR to GSDP ratio peaked at 8.7 per cent and 6.1 per cent respectively. Hence, from the past trend, it can be deduced that the State's Own Revenue is mainly contributed by the States Own Tax Revenue. This rise in SOTR is mainly attributable to higher buoyancy in Sales Tax, Excise Duty and Stamp & Registration fee. The Trend in States's Own tax revenue Receipts (% of GSDP) is shown in the following graph.

Comparison Of Different Components State Own Tax Revenue Of Odisha During Plan Periods-

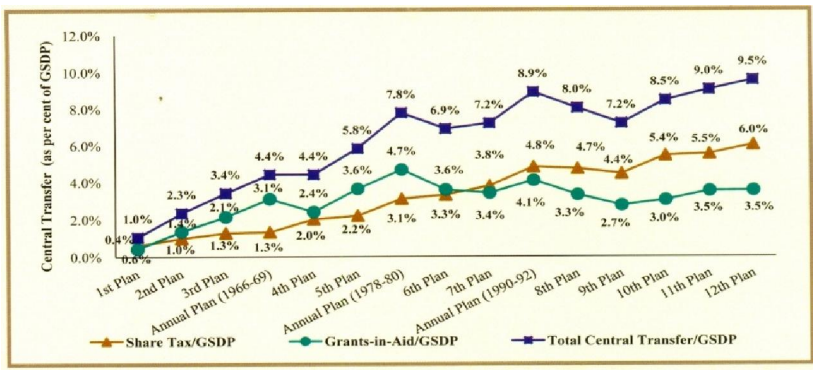
The different components of state own tax revenue in different plan periods are shown in the table since 1st plan period to 12th plan.

Plan	Prof. Tax	Land Rev.	Stamps & Reg.	State Excise	Sales Tax	M.V. Tax	Entry Tax	Elect. Duties	Other	SOTR
1st Plan	-	22.8%	15.1%	31.4%	25.2%	3.1%	-	0.05%	2.3%	100%
2nd Plan	-	28.7%	10.3%	16.0%	32.1%	10.0%	-	0.3%	2.5%	100%
3rd Plan	-	17.8%	8.3%	12.4%	45.4%	9.1%	0.8%	4.4%	1.9%	100%
Annual Plan (1966-69)	-	8.0%	8.2%	13.3%	51.2%	9.3%	0.2%	8.0%	1.9%	100%
4th Plan	-	5.4%	8.4%	12.9%	52.2%	8.7%	2.4%	8.1%	1.9%	100%
5th Plan	-	5.2%	7.2%	8.9%	56.3%	7.8%	2.9%	9.4%	2.3%	100%
Annual Plan (1978-80)	-	4.8%	6.5%	7.1%	57.5%	7.3%	2.6%	11.6%	2.4%	100%
6th Plan	-	6.3%	6.1%	7.5%	57.4%	7.5%	2.1%	13.8%	-0.7%	100%
7th Plan	-	9.2%	5.7%	7.1%	53.9%	8.8%	0.2%	13.8%	1.3%	100%
Annual Plan (1990-92)	-	7.9%	4.9%	7.5%	55.8%	8.3%	0.01%	14.8%	0.7%	100%
8th Plan	-	3.3%	5.5%	7.2%	62.9%	9.9%	0.0%	10.7%	0.5%	100%
9th Plan	-	3.1%	5.2%	7.2%	62.0%	9.0%	5.2%	7.0%	0.6%	100%
10th Plan	1.4%	2.9%	4.6%	7.6%	59.4%	8.0%	9.9%	5.9%	0.4%	100%
11th Plan	1.2%	3.8%	4.5%	9.3%	60.5%	6.4%	9.3%	4.5%	0.5%	100%
12th Plan	0.8%	2.7%	5.3%	11.1%	60.5%	4.9%	8.4%	6.0%	0.2%	100%

Source-compiled from Finance Account, GoO

Comparison Of Trends In Central Transfers To States (% Of Gsdp)-

The trends in Central Transfers as percentage of GSDP are presented in the graph. It shows that the percentage of Shared Tax to GSDP increased steadily till the 3rd Annual Plan period (1990-92) and then it declined in both the 8th and the 9th Plan periods. The 10th Plan period witnessed a sustained rise,



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Source-Compiled from Finance Accounts, Govt. of Odisha (from various issues)

which remained at 6 per cent in the 12th Plan. The receipts on account of Grants-in-aid as a percentage of GSDP) have fluctuated between the 1st Plan and 9th Plan periods. In the 2nd Annual Plan period (1978-80), it was at its highest at 4.7 per cent before declining to 2.7 per cent in the 9th Plan period. Afterwards, the share of Grants-in-aid in GSDP has followed an upward trend with 3.5 per cent in the 12th Plan period.

No definite pattern is observed in case of Central Transfers as a percentage of GSDP during the 1st Plan to 9th Plan periods. Since the 9th Plan, it has increased consistently. One noteworthy observation from the chart is that between the 2nd and 5th Plan periods, Central Transfers were mainly driven by Grants-in-aid. However, in the subsequent Plans, Shared tax constitutes major share in Central Transfers indicating greater untied transfer of funds to State.

Comparison In Sectoral Composition Of Odisha During Plan Periods-

The change in the relative contribution of various sectors to GSDP is indicative of the structural changes happening in the economy. The details are analyzed in the following table.

It is observed from the above table that the share of Agriculture & Allied activities has declined steadily over the Plan periods, starting at 40.94 per cent in 1st Plan period and ending at 20.32 per cent in 12th Plan period. The share of Industry has increased from 9.06 per cent in 1st Plan period to 38.45 per cent in 12th Plan period. A sharp rise in the share of Industry is witnessed in 11th and 12th Plan periods. Though the share of Services Sector has declined from 50 per cent in 1st Plan period to 41.24 per cent in 12th Plan period, the contribution of Services Sector has always remained the highest.

Sl No	Plan	Agriculture	Industry	Services
1	1st Plan	40.94%	9.06%	50.01%
2	2nd Plan	35.54%	10.21%	54.25%
3	3rd Plan	37.91%	11.46%	50.63%
4	Annual Plan (1966-69)	42.50%	11.18%	46.31%
5	4th Plan	43.00%	11.32%	45.68%
6	5th Plan	38.52%	14.35%	47.13%
7	Annual Plan(1978-80)	36.04%	15.70%	48.25%
8	6th Plan	42.79%	12.13%	45.08%
9	7th Plan	38.49%	14.91%	46.59%
10	Annual Plan(1990-92)	33.03%	16.33%	50.64%
11	8th Plan	32.56%	17.36%	50.07%
12	9th Plan	29.10%	17.07%	53.82%
13	10th Plan	24.15%	21.89%	53.97%
14	11th Plan	20.66%	30.46%	48.87%
15	12th Plan	20.32%	38.45%	41.24%

Source-Compilation from Economic Surveys

Comparative Analysis Of The Process Of Fiscal Consolidation In Odisha-

The fiscal situation of the State deteriorated from revenue surplus in the early 1980s to persistent deficits by mid-1980s, and the revenue and fiscal deficits reached a peak around the turn of the century. From a revenue surplus of 2 per cent of GSDP 1980-81, the State became

revenue deficit to the extent of 6.06 per cent of GSDP at the end of the year 2001-02. The primary deficit also deteriorated severely over the years. The fiscal imbalance manifested in severe liquidity crunch. The State Government depended heavily on Ways and Means Advances and Overdrafts from Reserve Bank of India for day to day cash requirements. Payment through treasuries was rationed. Availability of funds for works expenditure was severely restricted. The State was characterized as a State under severe fiscal stress by the 10th Finance Commission. This affected the growth of the State's economy as the ability to provide funds for capital investment and maintenance of capital assets was seriously eroded. The Plan outlay of the State Government also remained stagnant over a long period.

The central theme of the fiscal reforms programme was the preparation of a Medium Term Fiscal Framework (MTFF) indicating the outcomes of the reforms measures in terms of the monitorable fiscal indicators. Annual targets were set in terms of these indicators for each year of the medium term period. The State took corrective measures primarily to prune the revenue expenditure. The immediate policy measure of the State has been to reduce the burden of interest payment through prepayment of high cost market borrowing and also through debt swaps. Between 2002-03 and 2004-05, high cost debt amounting to Rs. 2543.62 crore was swapped against low cost debt which resulted in interest relief of Rs. 144.47 crore. On the basis of 12th Finance Commission recommendations, the State Government legislated the Odisha Fiscal Responsibility & Budget Management (FRBM) Act, 2005 which came into force with effect from 14th June 2005. The enactment of the Odisha FRBM legislation, 2005 provided a rule based framework for the fiscal consolidation process in Odisha. The FRBM Act, 2005 and the recommendation from the central finance commissions, collectively guide the management of State finances. After the enactment of FRBM Act, the debt sustainability indicators improved and the State was able to get out of the debt trap situation. During the year 2006-07, pre-payment of high cost market borrowing amounting to Rs. 394.61 crore was made followed by another tranche of amount Rs. 356.16 crore in the year 2007-08. In 2012-13, the third tranche of prepayment of high cost loans of Rs. 575.28 crore was effected which resulted in a relief of interest payment to the tune of Rs. 55.24 crore.

The State Government policy for debt restructuring through debt swap, prepayment of high cost borrowing and adhering to need-based borrowing have contributed to sharp decline in debt stock during the 11th and 12th Plan period. Through all these efforts, the debt stock ratio of 44 per cent in the 10th Plan period, declined to 14.5 per cent in the 12th Plan period. Further, debt servicing ratio of 31 per cent in the 9th Plan period, declined to 5.1 per cent in the 12th Plan period. With the improvement in fiscal situation, the State's dependence on borrowing for financing of State Plan outlay has come down very significantly. In 2002-03, the net borrowing to the State Plan Outlay ratio was at 1.52 times. It declined to 0.25 times in 2015-16 implying that more non-debt receipts were financing the State Plan as compared to the debt financing of State Plan in previous years.

Comparison Of Fiscal Scenario In Odisha (In Pre And Post Frbm Period)-

The Fiscal Responsibility and Budget Management Bill (FRBM Bill) was introduced in India in December 2000. Firstly, the bill highlighted the terrible state of government finances in India both at the Union and the state levels under the statement of objects and reasons. Secondly,

it sought to introduce the fundamentals of fiscal discipline at the various levels of the government. The FRBM bill was introduced with the broad objectives of eliminating revenue deficit by 31st March 2006, prohibiting government borrowings from the Reserve Bank of India three years after enactment of the bill, and reducing the fiscal deficit to 2 per cent of GDP (also by 31st March 2006). Further, the bill proposed for the government to reduce liabilities to 50 per cent of the estimated GDP by year 2011. There were mixed reviews among economists about the provisions of the bill, with some criticizing it as too drastic. Political debate ensued in the country. Several revisions later, it resulted in a much relaxed and watered-down version of the bill (including postponing the date for elimination of revenue deficit to 31st March 2008). The main objectives of the act were:

- To introduce transparent fiscal management systems in the country
- To introduce a more equitable and manageable distribution of the country's debts over the years
- To aim for fiscal stability for India in the long run

The tenth plan of the Planning Commission of India highlighted the need for fiscal discipline at the level of the states. This was to reduce the debt-to-GDP ratio of India. Reserve Bank of India (RBI), in its role as the ultimate financial authority in India, was also a keen supporter of the concept and publicly highlighted the need for state level fiscal responsibility legislation in India. By 2007, the states of Karnataka, Kerala, Punjab, Nadu, Maharashtra and Uttar Pradesh are among those which have already legislated the required fiscal discipline laws at the state level.

Fiscal Parameter	Pre-FRBM Period	Post-FRBM Period
States own Tax revenue	4.24	5.83
States own Non-Tax revenue	1.66	2.40
Shared tax	4.65	5.78
Grant- in -Aid	2.93	3.46
Revenue Expenditure	16.51	15.46
Capital outlay	1.94	2.66
Total Expenditure	18.45	18.12
Plan Expenditure	5.41	6.99
Non-Plan Expenditure	13.04	11.45
Developmental Expenditure	11.33	12.54
Non-Developmental Expenditure	7.12	5.90
Revenue Deficit	-3.03	2.02
Fiscal Deficit	-5.36	-0.67
Primary Deficit	-1.53	1.08
Interest payment	3.83	1.75
Debt Stock	38.39	22.02

A comparison can be made in Pre and Post FRBM Period (during a 12-year period) i.e fro 1993-94 to 2004-05 and presented in the adjacent table. The objective is to compare and contrast the performance of fiscal parameters during these periods. The SOTR and SONTR (as percentage of GSDP) have improved, in the post- FRBM period. The Share in Central Taxes and Grants-in-Aid (as percentage of GSDP) in the post-FRBM period has also increased significantly. The improvement in revenue efficiency has financed higher outlay and productive expenditure; as a result the State has witnessed higher growth in GSDP.

Implications And Conclusion-

- There is an urgent need to strengthen the institutional capacity to undertake evidence-based policymaking and create systems for real time monitoring and assessment of development and governance apparatus in the State to effectively transform good intentions to improved human wellbeing. Importantly, there is a need to review and introduce correctives in the policy response to rapidly overcome the chronic socioeconomic development gaps in the State.
- The move towards decentralization (from centre to States) accompanied by greater flexibility in financial planning and the pressures and inevitability of adopting competitive development policies among contiguous States makes it necessary for the State governments to reform and strengthen their policy making process.
- For raising agricultural productivity, use of quality inputs, exploitation of modern technology and shift into high value commodities such as fruits, vegetables, flowers, fisheries, animal husbandry and poultry needs to be propagated.
- To make farming remunerative for farmers, market intervention of the government through minimum support prices (MSP) with wide coverage of commodities needs to be ensured so that farmers can get fair prices for their produce at market places without any exploitation from private traders.
- The development vision carried forward by the Government of Odisha over the years has borne visible results. Due to rapid overall development of the remotest of regions, there has been a steep decline in poverty and malnutrition. The commitment of the State to sustainable development is through prudent management of its resources and better revenue generation.
- It has enabled the State to make higher capital investment in public infrastructure and people-centric welfare measures without recourse to higher borrowing. It has brought in comprehensive and inclusive socio-economic development in the State.
- The focus of the state government should be on equitable distribution of the benefits of growth and development among all sections of the society by 2036, when Odisha would complete a hundred years of its statehood. The vision will reflect the aspirational goals of the present generation. The State Government should believe in accomplishing this vision by eradicating poverty, eliminating hunger, removing inequalities and empowering one and all.
- The State's proactive approach towards development is closely aligned with the Sustainable Development Goals (SDGs) of the United Nations - crafted as a plan of action for people, planet and prosperity. The vision timeline of 2036 for Odisha encompasses the cutoff for the SDGs in 2030. The State is determined in its approach to mobilize the means required to cater to the needs of its people —the poorest and vulnerable in particular.
- The Government intends to provide basic necessities to all sections of the society. This broadly encompasses eradication of poverty; sustainable agriculture; improved health and nutrition; affordable and quality education and creation of equal employment opportunities;

access to affordable, reliable and sustainable energy sources; gender equality and empowerment of women and girls; and the development of resilient infrastructure.

- The State is committed to grant access to improved health care facilities by providing qualitative, preventive and curative health care services to the people. The Government focuses not only on providing universal health coverage through establishment of more number of health care centers, particularly in underserved and backward regions, but also on improvement of quality in health services in respect of infant and maternal care.
- An important area of Government intervention is the public provisioning of education, given the pivotal role that education plays in accelerating socio-economic development. The State Government intends to transform the quality of education in the State to improve learning outcomes for students. The education system in the State is being recalibrated to prepare the students to meet future challenges.
- The Government initiative to support and create centers of excellence in Higher Education and research would also go a long way in enhancing quality of human capital. The existing Government policy is to make the State an education hub and to create a knowledge society, ensuring lifelong learning and employable skills to all by 2036. Skill Development by industry aligned vocational training institutes would help make the workforce acquire employable skills.
- The State Government is committed to gender equality by ensuring empowerment of women and girls. A number of steps have been taken ranging from increasing enrolment of girl child in schools to providing equal opportunities in economic, social and political spheres of life. Gender Responsive Budgeting is a step in the right direction. The State Government has also been working for overall development of differently abled persons, provisioning of social security pension, pensions to destitute and persons with disabilities so as to enable them to lead a dignified life.
- The State recognizes the pivotal role that entrepreneurship plays in driving the growth of the developing economies. Development of entrepreneurship in Micro, Small and Medium Enterprise (MSME) sector is imperative to make the economy competitive.
- It also has the potential to promote inclusive growth through empowerment of women, disadvantaged sections as well as educated unemployed youth.
- The Government strives to promote entrepreneurship through encouragement and assistance to start-ups and innovation, self- employment along with incubator cells and entrepreneurship development cells as infrastructural support.
- This is a strategic step towards farmer-centric development. Odisha acknowledges that it cannot eliminate poverty and address the challenging issue of regional disparity without increasing the household income in the Agriculture and allied sectors.
- Agriculture continues to play a central role in the State's economy. Odisha is among the few States preparing a separate Agriculture Budget. The State has formed a separate "Agriculture Cabinet Committee". Agriculture Department has been renamed as Department of Agriculture and Farmers' Empowerment.

- The efforts of the state government in the days to come would be directed at redesigning the strategy for agriculture by reducing drought vulnerability and increasing farm income through higher investment in irrigation, access to institutional credit, provision of quality inputs like seeds, fertilizers, and pesticides. These efforts would also encompass the strategy to mitigate the effects of climate change.
- Odisha is regarded as a land of myriad marvels. The State is bestowed with the most stunning destinations which offer a visual feast for the admirers of nature. It is also home to a highly culturally rich heritage belonging to one of the oldest civilizations of the world. Acknowledging the role that tourism can play in economic development, through creation of employment and eradication of poverty in the State, the Government endeavors to develop Odisha as one of the most preferred tourist destinations and to place it prominently on the domestic and international tourism map. The strategy would involve giving high priority to development and promotion of tourism, conservation of heritage and natural environment.
- As more number of people move away from the rural areas into urban spaces in search of better employment opportunities, new challenges in the areas of housing, drinking water and sanitation have come up in the urban areas. Urban development, therefore, requires strategic focus. By keeping these things in mind state government is implementing the National Rurban Mission in the Rurban Clusters in Odisha and now the state rank in the national level is in the top.
- Government of Odisha intends to make all efforts for the development of slum areas into quality housing modules through planned integration. Slum areas will also be integrated into each city' through infrastructure connection and service delivery. Service delivery in urban areas will be improved significantly through Public - Private Partnership (PPP) interventions, and separate regulatory municipal service delivery enterprises. Service delivery bodies in small cities can continue to be effectively managed through the regional governance model, where each city serves as a service hub for surrounding rural areas with the hub and spoke model.
- Towards making the budget procedure transparent and accountable, the State has in the recent years moved towards an Open Budgeting process. The budget information has been made available in the public domain in a timely and accessible manner. Furthermore, the State has also introduced the Participatory Budget Initiative whereby the citizens of the State have been able to provide suggestions on matter of revenue collection and expenditure priorities.
- In recent years the need for moving towards a Multi-Year Expenditure Framework and a more robust outcome budgeting has been strongly felt. Keeping with the spirit of holistic and medium term budgeting, the focus would be on top-down budgeting where the resource priorities would be guided by medium and long-term strategies. The annual sectoral priorities and allocations would also be set accordingly. The Medium Term Expenditure Framework (MTEF) would act as a central element of public expenditure management reform to bridge the disparity between policy-making, planning, budget-implementation and budget outcomes.

- As the heart of all socio-economic changes lies in the theme of convergence. The process of convergence will enable the State to achieve synergies by removing duplications and lack of co-ordination among implementing agencies in developmental programmes. Convergence as a process is critical for efficient use of resources, avoidance of wastage, and for ensuring the desired output and outcomes of the schemes and programmes. Convergence encompasses institutional convergence, convergence of human resources and convergence of financial resources for timely achievement of the envisaged developmental goal efficiently.

Keeping in view the aspiration of people of Odisha, there will be a constant endeavor on the part of all stakeholders to strive together to achieve a higher trajectory of economic and social development on sustainable basis.

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